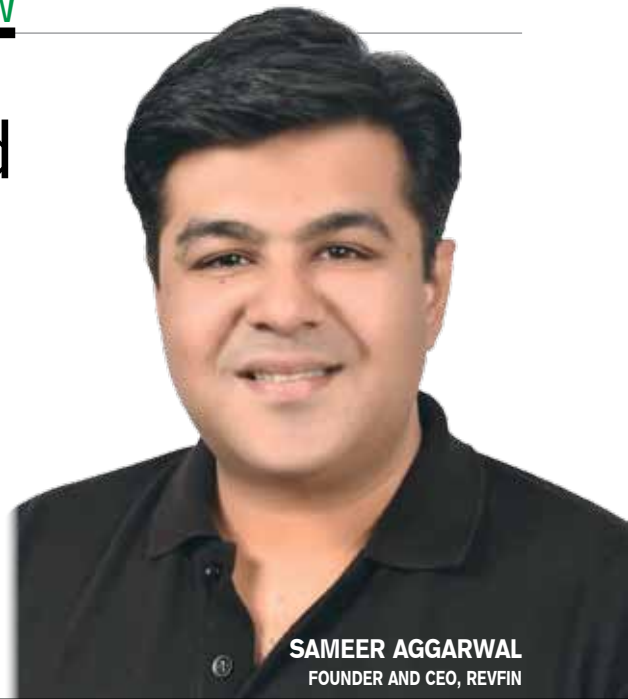


Business

“We Have Maintained A NET NPA RATE BELOW 1%!”

Maintaining a low non-performing asset (NPA) rate is considered one of the key factors determining the success of an NBFC (non-banking financial company) operating in the commercial vehicle finance industry. Revfin, a new-age NBFC, has consistently maintained NPA rates as low as 1%! But how has the company achieved this feat? Sameer Aggarwal shares the secret sauce and his perspective on the commercial electric vehicle finance industry in India!



SAMEER AGGARWAL
FOUNDER AND CEO, REVFIN

Can you tell us about your background, the concept behind Revfin, and your journey?

I began as a banker, working in credit risk management analytics for around 13-14 years in various countries with different consumer lending products. I founded Revfin in India to serve financially excluded segments through digital underwriting and data generation. Initially, we financed electric three-wheelers, particularly e-rickshaws, recognising a market gap and potential for significant economic impact on customers. This segment had high demand, low competition, and risk mitigation benefits for lenders. Revfin has grown to operate in 23 states, with a network of 1200 dealers and partnerships with 35-40 OEMs. We have financed 37,000 electric vehicles and are expanding rapidly, now with a team size of 330 employees.

Why is retail financing in the commercial electric vehicle (CEV) sector not as prevalent as fleet financing, and what can be done to promote it?

The lack of retail financing in the CEV sector primarily stems from

two factors: customer acceptability and product economics. Customers, especially those purchasing for commercial use, are discerning and seek products with favourable economics—low cost, high revenue potential, adequate life, and reliable range. Currently, many L5 electric vehicles (EVs) do not meet these criteria.

The progression typically starts with fleets buying EVs, then progressing to loans and leases. The next step, gradually emerging, is retail leasing, where the risk for customers is lower as they do not own the asset. This could eventually lead to increased demand for retail loans.

Can separating the financing of the electric vehicle and its battery mitigate the risk?

The risk is not significantly mitigated by separating the financing of the vehicle and battery. The entire product ecosystem needs to be robust, including dealership training, spare parts availability, and honouring warranties.

The market needs to have confidence in the product, and initial losses might occur as part of this

process. The approach towards electric vehicles should be distinct from traditional products, focusing on quality and after-sales support.

Do startups like Euler, Omega Seiki, and AltiGreen face similar challenges?

Financing challenges are not unique to India but are a global issue, especially in the electric vehicle sector. These include the longevity and efficiency of the vehicle over the loan period, OEM stability, lack of secondary markets, and uncertainties about vehicle servicing and resale value. These factors make product risk difficult to quantify and thus hard to price into lending equations.

The solution lies in creating an ecosystem involving OEMs, dealers, financiers, insurance companies, e-commerce platforms, fleet operators, and charging providers. By sharing product risks across this ecosystem, the sector can scale more effectively.

How significant is the development of a secondary market for commercial electric vehicles in addressing financing challenges?

The establishment of a second-